

Some of Each, Please

I've been called both a value investor and a growth investor. Which I take as a compliment.

There really is no reason to be a pure this or a pure that. I look for what at Acorn we call GARP—growth at a reasonable price. I try to be a sensible shopper. I want good, growing companies, but I don't want to overpay, and I would argue, as I already have, that you have a better chance of finding them among small companies. I seldom buy "supergrowth" stocks, those with 25 or 30 percent growth-in-earnings estimates, because such estimates rarely come true. I also avoid value stocks that have a high stated book value but are in fact very sick companies.

There is a great difference, you know, between the best company and the best stock.

So call me eclectic. I do a little of each. I'm greedy. I want growth at a value price. Just because you like lobster doesn't mean you won't eat chicken. I stick with small-cap stocks, but I don't care if it's a growth idea or a value idea. Or what country it's from. If it looks profitable, I'll do it.

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The Odds Favor Value

If you put me on the rack, though, and force me to choose one school or the other, I confess to a bias, and it stems from the second law of thermodynamics. Some processes are reversible: you can